



HELPING HAND: A micro-finance group at a meeting in a Hyderabad slum

the '90s. They enlist only those who are eager to make a difference to the poor in rural India on a commercially-viable basis and show commitment to serve them continuously. This concept of extending livelihood finance is a comprehensive approach to promoting sustainable livelihoods for poor and includes, besides extending credit, a number of financial services like personal, crop and livestock insurance, infrastructure finance, institutional development services, as well as agricultural and business development services. Yet, there is a yawning gap in the demand and supply of credit to the poor. The flow is much below the requirement. The Reserve Bank of India estimates that the credit support for poor households in India is around Rs 4,50,000 crore. Micro-level studies show that the poor still continue to depend on informal sources of credit, including the usurious village moneylender, to meet up to 60 per cent of the household demand.

94%
of 6,00,000
villages in India
do not have a
single branch
of any bank

A decade after the sharply focused effort began, the micro-finance revolution has still a long way to go. If India were to spare 2.5 per cent of its GDP for livelihood finance every year, it would still be in time for the 2015 deadline of Millennium Development Goals set by the United Nations for halving poverty. That means livelihood finance will require Rs 50,000 crore while rebuilding the natural resource base. It is possible to build value using internal resources and capabilities of the poor themselves by focusing on removing the constraints under which they operate. Long-term work, however, is needed to help them.

Micro-finance initiatives are sustainable if simultaneous efforts are made to create large-scale infrastructure which would allow the economic environment of the poor to be changed through the provision of better roads, electricity and health care infrastructure. Carefully targeted investments have a direct impact on poor. ■



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